

MARKET ANALYSIS

Can a Speculative Industrial Project in Houston Find Tenants Before the Debt Clock Runs?

HLCI's Par 1960 completion tests whether speculative industrial still commands lease-up velocity in a cooling market.

July 22, 2026 · RE Business Online · 3 min read

A source-grounded Light Tower Insight. The complete note follows.

Holt Lunsford Commercial Investments just finished 254,186 square feet of industrial space in northwest Houston with no tenant signed. The project, called Par 1960, broke ground in late 2024 and delivered two buildings in a market that has seen industrial vacancy drift upward from its 2022 trough. The developer is betting that location and specification will attract tenants faster than the market can absorb the new supply.

The lender who financed this construction is making a different bet: that HLICI can lease the space before the interest reserve runs out, or that the sponsor has enough balance sheet to carry the project through a slower lease-up. That distinction between the developer's bet and the lender's bet is where the real story lives.

Speculative industrial development is not unusual in Houston, where build-to-suit timelines often lag demand and tenants prefer to see space before committing. But the financing environment for spec construction has tightened meaningfully since 2023. Regional banks, which historically provided the bulk of construction loans for projects of this size, have pulled back under regulatory pressure and higher cost of funds. Private credit has stepped into some of that gap, but at a price: higher spreads, lower leverage, and tighter recourse provisions.

The question Par 1960 poses is not whether the buildings will lease. It is whether they will lease fast enough to keep the capital stack intact. A 254,186-square-foot project with two distinct product types—a 204,375-square-foot front-load building with 32-foot clear heights and a 49,811-square-foot rear-load building with 28-foot clear heights—gives the leasing team two shots at the market. But it also means two separate lease-up timelines, two sets of tenant requirements, and two potential points of failure if demand softens.

The northwest Houston submarket has been a reliable absorber of industrial space, driven by population growth and distribution demand tied to the broader Houston MSA. But the macro picture has shifted. Industrial vacancy nationally has risen from historic lows as a wave of new supply delivered in 2024 and 2025. Tenants have more options, and lease negotiations have lengthened. The days of signing a 200,000-square-foot lease within six months of delivery are not gone, but they are no

longer guaranteed.

For HLCI, the calculus is straightforward: the basis is set, the construction is done, and the carrying cost is now a function of time. Every month the buildings sit empty is a month of interest expense with no offsetting income. The sponsor's track record and balance sheet will determine how long that carrying cost can be absorbed before the project becomes a drag on the broader portfolio.

For the lender, the calculus is different. The construction loan was underwritten at a point in the cycle when lease-up assumptions were more optimistic. If the market has shifted since late 2024, the lender's risk has increased even though the physical asset is complete. The lender is now watching the same clock as the developer, but with a different set of tools: the ability to extend, restructure, or, in the worst case, take control of the asset. The lender's decision to extend or not will reveal more about the project's true economics than any leasing update.

Cushman & Wakefield has been retained as the leasing agent, which signals that HLCI is deploying institutional-grade brokerage to maximize tenant exposure. That is a necessary condition for success, but not a sufficient one. The market will test whether the buildings' specifications—32-foot clear heights in the larger building, front-load configuration for easy truck access—match what tenants in northwest Houston are actually demanding right now.

The broader implication for industrial developers and their lenders is this: speculative construction is not dead, but the margin for error has shrunk. Projects that would have leased in nine months in 2022 may now take 15 to 18 months. The capital stack must be built to withstand that longer timeline, or the sponsor must have the liquidity to bridge the gap. Par 1960 will be a real-time case study in whether the current market can support that kind of patience.

For owners and operators watching from the sidelines, the signal to monitor is not the first lease. It is the second. The first lease proves the project has a bid. The second lease proves the market has depth. Until both are signed, the capital stack remains exposed to the one variable that no underwriting model can fully control: time.

SOURCES

- RE Business Online —
<https://rebusinessonline.com/hlci-completes-254186-sf-industrial-project-in-northwest-houston/>

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